

Customer Churn Analysis Report

Executive Summary

This report analyzes customer retention and churn patterns to identify why customers are leaving and how to improve engagement. Based on the dashboard analysis, the current churn rate is 25.3%, representing a significant opportunity for revenue recovery.

Total Customers	Churned Customers	Churn Rate	Avg Tenure
6,531	1,653	25.3%	34.19 months

Key Insights

1. Contract Vulnerability

The majority of churn (approx. 1,400 customers) comes from the Month-to-Month contract segment. In contrast, customers on one-year or two-year contracts show extremely high loyalty rates.

2. Service Type Analysis

Fiber Optic users are churning at a significantly higher rate (1,194) than DSL users. This suggests a possible gap in service quality, pricing, or technical support for the high-speed tier.

3. Payment Method Trends

Electronic Check is the dominant payment method among churned customers. This could be due to manual payment friction or higher transaction failure rates compared to automated credit card payments.

Recommendations

- **Contract Conversion:** Launch a campaign to move Month-to-Month users to Annual contracts using price incentives.
- **Quality Audit:** Investigate Fiber Optic service stability and performance to address the high churn volume in that segment.
- **Automated Billing:** Encourage customers to switch to Auto-pay via Credit Card or Bank Transfer to reduce payment-related churn.
- **Proactive Outreach:** Target customers reaching the 30-month tenure mark with loyalty rewards before they reach the average churn window (34 months).

